Presumed Undue Influence

English contract law | Study guide | Trust, inference and lender protection

A person who challenges a transaction may be unable to show exactly what was said before it was signed. Under English law, the relationship and the nature of the transaction can give a court enough evidence to infer that consent was procured by undue influence. The inference can be rebutted.

1. Identify the source of influence

The traditional Class 2A covers recognised relationships such as solicitor and client, or medical adviser and patient. Once the relationship is established, the law conclusively presumes the existence of influence. The court must still ask whether the particular transaction calls for explanation.

Under Class 2B, the claimant must establish trust and confidence or ascendancy on the facts. Marriage and an ordinary banking relationship carry no automatic presumption of influence. Evidence that one partner habitually left financial decisions to the other may establish actual reliance.

2. Ask whether the transaction calls for explanation

Consider what ordinary motives could explain in that relationship. A client’s payment of reasonable legal fees is readily explicable. A client’s gift of a substantial share of their savings to the solicitor may call for explanation. The size of the benefit, the risk assumed and the reasons for the transaction all matter.

3. Weigh any evidence of an independent decision

Once both elements are established, the other party must produce evidence to answer the inference. A private meeting with an independent adviser, time to reflect and a credible reason for proceeding can carry weight. A person can understand the transaction and still sign under another’s influence. The claimant retains the overall burden of proof.

4. Consider the effect on the transaction

If the court finds undue influence, the transaction is generally voidable. The claimant may seek to have it set aside. If a lender holds security, its enforceability also depends on what the lender knew and whether it took the required protective steps.

> Legal English | **Influence** means the capacity to affect another’s decision. **Undue influence** concerns its improper use to procure the transaction. **Rebuttable** means that contrary evidence can displace the inference.

The Cases and the Lender’s Position

Lloyds Bank v Bundy (1974) | Trust proved on the facts

An elderly farmer relied on his bank’s advice and charged his farm to secure his son’s company debts. The bank had its own interest in obtaining security, and the farmer signed the disputed documents without independent advice. The Court of Appeal set the guarantee and charge aside. The bank was itself the party in whom he placed his trust.

Barclays Bank v O’Brien (1993) | A third-party lender

Mrs O’Brien signed a second mortgage over the family home to secure her husband’s company overdraft. He falsely told her that it was limited to £60,000 and would last only three weeks. The House of Lords discussed Classes 2A and 2B. The outcome turned on the husband’s misrepresentation and the bank’s failure to take reasonable steps once put on inquiry. The bank could enforce the security against her only up to £60,000.

Etridge (No 2) (2001) | Reasonable protective steps

A lender is put on inquiry where the transaction shows that one person is providing security for another’s debt in a non-commercial relationship. The lender should communicate directly with the person giving security, provide the relevant financial information for advice and obtain written confirmation that legal advice has been given. If it omits the required steps, it may be fixed with constructive notice of the claimant’s rights.

Waller-Edwards (2025) | A loan with two purposes

The Supreme Court applied the same approach to a joint loan in a non-commercial relationship where, from the lender’s perspective, more than a negligible part of the loan pays one borrower’s separate debts. The lender is put on inquiry even though the rest of the money serves a joint purpose.

> Exam method | First assess whether undue influence procured consent. Then examine the lender’s position. **Put on inquiry** means the known features of the transaction require protective steps.

Worked Problem and Authorities

A joint loan and one partner’s debts

Maya has long relied on her partner Daniel to manage her finances. They sign a joint agreement for a £200,000 loan secured on their jointly owned home. The bank’s paperwork shows that £170,000 will refinance their joint mortgage and £30,000 will repay Daniel’s personal debts. Maya receives no independent legal advice. Can she challenge the security?

Model analysis

Relationship and transaction. Maya can rely on her history of entrusting her finances to Daniel to establish actual trust and confidence (Class 2B). The court should ask why she agreed to risk her interest in the home to pay his separate debts. The joint refinancing explains £170,000. The additional £30,000 may call for a separate explanation in the context of their relationship.

Rebuttal. Daniel could produce evidence that Maya freely chose to take on the risk for a credible reason of her own. The court would weigh any records of her reasons and the circumstances of signing. The stated facts support the inference of undue influence if no satisfactory explanation emerges.

Bank and remedy. The £30,000 is apparent to the bank and is more than negligible. Under *Waller-Edwards* the bank was put on inquiry. If Maya establishes undue influence and the bank failed to take the required steps, she may be able to have the security set aside as against her.

> Variation | Before signing, Maya discusses the risks privately with a solicitor, takes several days to reflect and records why she wishes to proceed. Those facts strengthen Daniel’s rebuttal. To assess the bank’s position, check separately which protective steps it took.

Selected authorities

Lloyds Bank Ltd v Bundy [1975] QB 326 | Trust on the facts

Barclays Bank plc v O’Brien [1994] 1 AC 180 | Misrepresentation and notice

Royal Bank of Scotland plc v Etridge (No 2) [2001] UKHL 44 | Inference and protective steps

Waller-Edwards v One Savings Bank plc [2025] UKSC 22 | Hybrid loans